

## AGRICULTURE MARKETING

Agricultural marketing **can be defined as comprising of all activities involved in supply of farm inputs to the farmers and movement of agricultural products from the farms to the consumers.** Agricultural marketing system **includes the assessment of demand for farm-inputs and their supply, post-harvest handling of farm products, performance of various activities required in transferring farm products from farm gate to processing industries** and/or to ultimate consumers, assessment of demand for farm products and public policies and programmes relating to the pricing, handling, and purchase and sale of farm inputs and agricultural products. Of late trade in the domestic and international markets also become the part of it.

### **Importance Of Agricultural Marketing**

**The importance of agricultural marketing in economic development is revealed from the following:**

#### **(i) Optimization of Resource use and Output Management**

An efficient agricultural marketing **system leads to the optimization of resource use and output management.** An efficient marketing system can also **contribute to an increase in the marketable surplus by scaling down the losses arising** out of inefficient processing, storage and transportation. A well-designed system of marketing can effectively distribute the available stock of modern inputs, and thereby sustain a faster rate of growth in the agricultural sector.

#### **(ii) Increase in Farm Income**

An efficient marketing system **ensures higher levels of income for the farmers reducing the number of middlemen or by restricting** the cost of marketing services and the malpractices, in the marketing of farm products. **An efficient system guarantees the farmers better prices for farm products and induces them to invest their surpluses**

**in the purchase of modern inputs so that productivity and production may increase.** This again results in an increase in the marketed surplus and income of the farmers. If the producer does not have an easily accessible market-outlet where he can sell his surplus produce, he has little incentive to produce more. **The need for providing adequate incentives for increased production is, therefore, very important, and this can be made possible only by streamlining the marketing system.**

### **(iii) Widening of Markets**

**An efficient and well-knot marketing system** widens the market for the products by taking them to remote corners both within and outside the country, **i.e., to areas far away from the production points.** The widening of the market helps in increasing the demand on a continuous basis, and thereby guarantees a higher income to the producer.

### **(iv) Growth of Agro-based Industries**

An improved and efficient system of agricultural marketing **helps in the growth of agro-based industries and stimulates the overall development process of the economy.** Many industries like cotton, sugar, edible oils, food processing and jute depend on agriculture for the supply of raw materials.

### **(v) Price Signals**

An efficient marketing **system helps the farmers in planning their production in accordance with the needs of the economy.** This work is carried out through transmitting price signals.

### **(vi) Adoption and Spread of New Technology**

The marketing system **helps the farmers in the adoption of new scientific and technical knowledge.** New technology requires higher investment and farmers would invest only if they are assured of market clearance at remunerative price.

### **(vii) Employment Creation**

The marketing system **provides employment to millions of persons engaged in various activities, such as packaging, transportation, storage and processing.** Persons like commission agents, brokers, traders, retailers, weighmen, hamals, packagers and regulating staff are directly employed in the marketing system. This apart, several

others find employment in supplying goods and services required by the marketing system.

### **(viii) Addition to National Income**

**Marketing activities add value to the product** thereby increasing the nation's gross national product and net national product.

### **(ix) Better Living**

The marketing system is essential for the success of **the development programmes which are designed to uplift the population as a whole**. Any plan of economic development that aims at diminishing the poverty of the agricultural population, **reducing consumer food prices, earning more foreign exchange or eliminating economic waste has, therefore, to pay special attention to the development of an efficient** marketing for food and agricultural products.

### **x) Creation of Utility**

**Marketing is productive, and is as necessary as the farm production**. It is, in fact, a part of production itself, **for production is complete only when the product reaches a place in the form and at the time required by the consumers**. Marketing adds cost to the product, but, at the same time, it adds utilities to the product.

### **Functions Of Market**

|                               |                                     |
|-------------------------------|-------------------------------------|
| <b>Physical Functions</b>     | Storage and Warehousing             |
|                               | Grading                             |
|                               | Processing                          |
|                               | Transportation                      |
| <b>Exchange Functions</b>     | Buying                              |
|                               | Selling                             |
| <b>Facilitative Functions</b> | Standardization of Grades           |
|                               | Financing                           |
|                               | Risk Taking                         |
|                               | Dissemination of Market Information |

## Marketing Institutions

**Marketing institutions are business organizations which have come up to operate the marketing machinery.** In addition to **individuals, corporate, co-operative and government institutions** are **operating in the field of agricultural marketing.**

They **perform one or more of the Marketing functions.** They assume **the role of one or more marketing agencies, described earlier in this section.** Some important institutions in the field of agricultural marketing are:

### **(a) Public Sector Institutions**

- Directorate of Marketing and Inspection (DMI)
- Commission for Agricultural Costs and Prices (CACP)
- Food Corporation of India (FCI)
- Cotton Corporation of India (CCI)
- Jute Corporation of India (JCI)
- Specialized Commodity Boards

- Rubber Board
- Tea Board
- Coffee Board
- Spices Board
- Coconut Board
- Oilseeds and Vegetable Oils Board
- Tobacco Board
- Cardamom Board
- Arecanut Board
- Coir Board
- Silk Board
- National Horticulture Board (NHB)
- National Dairy Development Board (NDDB)

### **(b) Cooperative Sector Institutions**

- National Cooperative Development Corporation (NCDC)

- National Agricultural Cooperative Marketing Federation (NAFED)
- National Cooperative Tobacco Growers Federation (NTGF)
- National Consumers Cooperative Federation (NCCF)
- Tribal Cooperative Marketing Federation (TRIFED)
- Special Commodity Cooperative Marketing Organizations (Sugarcane, Cotton, Milk)
- State Cooperative Marketing Federations.

## Co-operative Marketing

The establishment of co-operative marketing societies was another step which has been taken to overcome the problems arising out of the present system of marketing agricultural produce. The objectives of economic development and social justice can be furthered by channelising agricultural produce through cooperative institutions

**Co-operative marketing organizations are associations of producers for the collective marketing of their produce and for securing for the members the advantages that result from large-scale business which an individual cultivator cannot secure because of his small marketable surplus.**

In a co-operative marketing society, **the control of the organization is in the hands of the farmers, and each member has one vote irrespective of the number of shares purchased by him. The profit earned by the society is distributed among the members on the basis of the quantity of the produce marketed by him. In other words, co-operative marketing societies are established for the purpose of collectively marketing the products of the member farmers.** It emphasizes the concept of commercialization. Its economic motives and character distinguish it from other associations. **These societies resemble private business organization in the method of their operations; but they differ from the capitalistic system chiefly in their motives and organizations.**

**The All-India Rural Credit Survey Committee (1954) brought to light the dismal performance of the existing marketing co-operatives. In a sample of 75 districts**

surveyed, there was no co-operative marketing society in 63 districts. In remaining districts only around one per cent of the total sale of agricultural produce was done through the societies. The committee suggested the establishment of primary co-operative marketing societies and linking of credit with marketing. **The First Five Year Plan (1951-56) laid stress on the establishment of agricultural marketing and processing co-operative societies. In 1958, the National Agricultural Co-operative Marketing Federation (NAFED) was established as the apex body of co-operative marketing. In 1963, the National Co-operative Development Corporation (NCDC) was set up for promoting programmes relating to co-operative societies.**

**The Dantwala Committee (1966) stressed the need for co-operation and integration among the various co-operative organizations after reviewing the pattern of co-operative marketing, distribution of inputs to farmers and supply of consumers products.** Based on the survey of the co-operative marketing societies in 1968, the Reserve Bank of India recognized that effective linking of credit with marketing was necessary. The **All-India Rural Credit Review Committee, 1969 also recommended the strengthening of co-operative marketing, with a view to helping the government agencies in the execution of price support programmes. There is a multi-state cooperative marketing Act in place now.**

## Structure Of Co-Operative Marketing

The co-operative marketing societies have both two-tier and three-tier structure. In the states of Assam, Bihar, Kerala, Madhya Pradesh, Karnataka, Orissa, Rajasthan and West Bengal, there is a two-tier pattern with primary marketing societies at the taluka level and state marketing federation as an apex body at the state level. In other states, there is three-tier system with district marketing society in the middle. **At the national level, NAFED serves as the apex institution.**

## The pattern of the three-tier structure is as follows:

### (i) Base Level

At the base level, there are **primary co-operative marketing societies**. These societies market the produce of the farmer members in that area. **They may be single commodity or multicommodity societies, depending upon the production of the crops in the area.** They are located in the primary wholesale market, and their field of operations extends to the area from which the produce comes for sale, **which may cover one or two tehsils, panchayat samitis or development blocks.**

### (ii) Regional/District Level

At the regional or district level, there are **central co-operative marketing unions or federations.** **Their main job is to market the produce brought for sale by the primary co-operative marketing societies of the area.** **These are located in the secondary wholesale markets and generally offer a better price for the produce.** The primary co-operative marketing societies are members of these unions in addition to the individual farmer members. In the two-tier structure, the State societies perform the functions of district level societies by opening branches throughout the district.

### (iv) State Level

At the state level, there are apex (State) co-operative marketing societies or federations. These state level institutions serve the state as a whole. **Their members are both the primary co-operative marketing societies and the central co-operative unions of the state.** **The basic function of these is to coordinate the activities of the affiliated societies and conduct such activities as inter-state trade, export-import, procurement, distribution of inputs and essential consumer goods, dissemination of market information and rendering expert advice on the marketing of agriculture produce**

**The cooperative marketing network of the country includes 27 state level marketing federations 199 district/regional marketing co-operative societies, and 4398 primary cooperative marketing societies besides NAFED at the national level.**

## Types of Co-operative Marketing Societies

On the basis of the commodities dealt in by them, the co-operative marketing societies may be grouped into the following types:

## 1. Single Commodity Co-operative Marketing Societies

They deal in the **marketing of only one agricultural commodity**. They get sufficient business from the farmers producing that single commodity. **The examples are Sugarcane Co-operative Marketing Society, Cotton Co-operative Marketing Society and Oilseed Growers Co-operative Marketing Society.**

## 2. Multi-Commodity Co-operative Marketing Societies

They deal in the **marketing of a large number of commodities produced by the members, such as foodgrains, oilseeds and cotton**. Most of the co-operative marketing societies in India are of this type.

## 3. Multi-purpose, Multi-commodity Co-operative Marketing Societies

These societies market a large **number of commodities and perform such other functions as providing credit to members, arranging for the supply of the inputs required by them**, and meeting their requirements of essential domestic consumption goods.

## The Important Functions Carried Out By The Co-Operative Marketing Societies Are

### 1. Sale on Commission Basis

**Co-operative marketing societies act as commission agents in the market**, i.e., they arrange for the sale of the produce brought by the members to the market. **The produce is sold by the open auction system to one who bids the highest price**. The main advantage, which the farmer-members get by selling the produce through co-operative marketing societies **instead of a commission agent, is that they do not have to accept unauthorized deductions or put up with the many malpractices, which are indulged in by individual commission agents.**

### 2. Purchase of Members' Produce



**Co-operative marketing societies also enter the market as buyers.** A society **participates in bidding together** with other traders, and creates conditions of competition. The commodities thus purchased by a society are sold again when prices are higher.

### iii) Advancement of Credit

Co-operative marketing societies **advance finance to farmers against their stock of foodgrains in the godowns of the societies. This increases the holding power of the farmers and prevents distress sales.** Generally, societies advance credit to the extent of **60 to 75 per cent of the value of the produce stored with them.** The recoveries are affected from the sale proceeds of the produce of the farmer. This function involves no risk to the society. Moreover, it increases the business.

### iv) Procurement and Price Support Purchases

Co-operative **marketing societies act as agents of the government in the procurement of foodgrains and other agricultural commodities** at the announced procurement or support prices.

### (v) Other Functions

**The following functions are also carried out by them, depending upon the availability of funds and other facilities:**

1. They **assemble the marketable surplus** of small and marginal farmers and transport this surplus from villages to the society headquarters for disposal;
2. They **make arrangements for the grading of the produce** and encourage producers to sell the produce after grading so that they may get better prices;
3. They **undertake the processing of produce**
4. They **make arrangements for the export of agricultural commodities in collaboration with the State Level Co-operative Marketing Federation and the National Agricultural Co-operative Marketing Federation;**
5. They **undertake inter-state trade in agricultural commodities**

6. They **distribute agricultural production inputs, such as fertilizers improved seeds, pesticides, agricultural implements, and** such essential consumer articles as sugar, kerosene oil and cloth.

## Contract Farming/Contract Marketing

Contract farming or marketing essentially **is an arrangement between the farmer-producers and the agri-business firms to produce certain pre-agreed quantity and quality of the produce at a particular price and time.** It can only be a **pure procurement transaction or can extend to the supply of inputs or even beyond.** Contract farming is emerging as an important mode of procurement of raw materials by agri-business firms in India due to the development in the field of agricultural marketing, changes in food habits and in agricultural technology in the new economic environment. **This is an important initiative for reducing transaction costs by establishing farmer-processor linkages in addition to the already existing methods of linking the farmers to the consumers.**

The distinction **between 'sales' and 'contract to sell'** needs to be understood clearly. In the case of sale, the title or ownership of goods is transferred at once whereas in the 'contract to sell', the goods are transferred at a later date. **A contract to sell is not in the true sense of the word a sale, rather it is merely an arrangement to sell. A contract is an agreement but an agreement is not necessarily a contract.**

In contract farming, **companies or organizations engaged in processing and marketing of agricultural products are entering into contracts with the farmers. They provide inputs to the farmers and buy back the product at a rate specified in advance.**

**Following type of inputs and services are normally provided by the company to the farmers:**

- **Seeds of the variety they need for processing/marketing**
- **Guide lines to grow the crops**
- **Pesticides which do not result** in residual toxicity
- **Extension services**
- **Fertilizers/hormones** required for the crop
- Other material if not locally available.

The contract may be entered **into by parties anytime from the start of the sowing or planting to the harvesting, processing, packaging and marketing stage of the crop.** Normally, **the contract is entered before the start of the sowing or planting because the buyer can then stipulate the conditions of cultivation,** use of the seed variety needed by them, use of pesticides and insecticides, and requirement of on farm grading, sorting, packaging and processing. **The buyer of the product generally keeps the right to monitor the crop at every stage of its growth.**

### **Advantages of Contract Farming**

**Contract farming/marketing is beneficial both for the producer-farmers as well as to the processing company in several ways:**

#### **To the farmer, contract farming**

- **Reduces the risk of price/production**
- **Ensures the price as market** is assured
- Increases the **quality consciousness**
- **Ensures higher production** because of better quality seeds and pesticides
- **Reduces marketing costs**
- **Provides financial support** in cash or kind
- **Ensures efficient/timely technical guidance** almost free of cost

#### **To The Processing Company, Contract Farming –**

- Ensures **supply of quality agricultural produce at right time** and at lesser cost to the company.
- **Canalizes direct private investment in** agricultural activities.
- **Ensures that the toxicity level is reduced as per requirement for export.**

Government is increasingly looking **towards the corporate sector to augment the rural incomes and employment through agro-processing**. In this context, policy makers see the contract farming/marketing as an important avenue to ensure greater private sector participation in agriculture.

### Flip Side of Contract Farming

**The important weaknesses of contract farming are:**

- Contract farming is **involved mostly in cash crops which may lead to shift in area from food crops which, beyond a limit may endanger food security**, biodiversity and agricultural crops cycle of the country.
- Contract farming may create the **danger of imposition of undesirable seeds**.
- **The temptation of getting commercial profits** from cultivation of a variety of the crop may cause permanent damage to the land
- **Market making outside the country** may cause market breaking inside the country.

However, contract farming is a welcome development. But the contract should be made **under high scrutiny possibly because of exploitation of the farmers. The terms of the contract should be spelt out in advance and a consent letter is obtained both from the farmer and the company.** The government should establish a monitoring mechanism and a dispute settlement body to ensure that both parties adhere to the terms of contract.

### Incentives for Promoting Contract Farming

**Contract farming is means of allocating/distribution of risk between processor and the farmers. It will succeed if both the parties share the risks and rewards.**

**The Ministry of Food Processing Industries of Government of India has launched a scheme entitled 'Grant Under Backward Linkages' to promote contract farming. Under this scheme, a grant of 10 per cent of value of raw material purchased from the contract farmers (subject to a maximum of Rs.10 lakhs per annum) is provided to food processing units up to three years.**

**The Ministry has also prescribed a model agreement form. The criteria for the grant are:**

- **The processing unit should provide seed, insecticides, fertilizers and extension services to contract farmers at reasonable charges**
- **The number of contract farmers should be at least 25**
- **There should be an agreement prior to the period of contract farming for a maximum period of one year**
- **The processing unit should give advance intimation about its contract with farmers to the Ministry as well as State Nodal Authority (One Month before the contract comes into operation).**
- **The claim for reimbursement should be recommended by the State Nodal Authority**

## Agriculture Marketing

**The marketing of the agricultural produce in India is governed by the Agricultural Produce Market Committee APMC Act enacted by the respective state governments.**

**As per the Act, every state is divided into different mandis, functioning under a Market Committee constituted by the state government.**

**A farmer can sell only to the authorized traders and commission agents are allowed to carry out procurement and distribution of agricultural produce brought by the farmers.**

## Agricultural Marketing: Issues

### Agricultural Produce Market Committee [APMC] Issues:

- **Monopoly of the APMCs:** Restricts the number of options available to the **farmer** to sell his produce and reduce the competition in the agriculture market.
- **Entry barriers:** Getting a **commission agent license** in the regulated markets mandates the owning a shop/warehouse, which restricts new players.
- **Uneven spread of mandis:** There is a **huge variation in the density of regulated markets across India**. For instance, there is one regulated market per 118 sq. km. in Punjab while in Meghalaya it is one market per 11,214 sq.km.
- **Wastage:** **APMCs lack proper warehouses, cold storages** due to which approx. 30 percent of the produce is wasted.
- **APMC Commission and taxes:** The **market fees collected by the state governments range between 0.50 % to 2.0 % of the sale value of the produce**. Commission charges **also vary from 1 % to 2.5 % in food grains and 4 % to 8 % in fruits and vegetables**. In some States, all such taxes total up to about 15 % which is excessive.
- **Cartelization:** It prevents **the actual price discovery of the commodities in the mandis**. For example, the traders plotted to depress the prices at the mandis during the implementation of Bhavantar Bhugtan Yojana in Madhya Pradesh.
- **Non-uniformity:** Each APMC is covered by the act of their respective state governments.

### Systemic Issues

- **Rural Infrastructure:** Infrastructure deficit such as lack of electricity, inadequate cold storages leading to large food waste.

- **Cold storage facilities:** Most of the **existing cold storages are single commodity storages**. This has resulted in their **capacities lying unused** for the most part of the year due to the seasonal nature of Agri-produce.
- **Lack of standardization and quality assurance:** **European Union (EU) has rejected more consignments from India as compared to consignments** from other developing countries such as Turkey, Brazil.
- **Lack of Transportation Facility:** Many of the **rural areas don't have proper road and rail facilities which makes discovery of the best price difficult**.
- **Financial constraints:** As per the **10th agricultural census, 86.2% of the farmers in India are small and marginal in nature**. They lack access to formal credit facility.
- **Issue of cooperatives:** Lack of a **proper cooperative marketing structure further adds to the woes of small and marginal farmers**. The **decision-making power in the cooperatives has also been monopolised by the large farmers** to benefit themselves.

## **Policy Issues**

- **Delay in Market Interventions:** Market Intervention Scheme [MIS] is **used by the government when there is a large drop in the price of a commodity**. The current process to fix the MIS price is long [States approach the centre and then centre sets up a committee to examine the costs to fix MIS price].
- **Lack of Market Intelligence:** The farmers usually do not have sufficient information regarding the prices of the agricultural produce in the market.
- **Large Number of Marketing Channels with Long Supply Chain:** As per the report of Ashok Dalwai Committee, **a farmer only gets 15% to 40% of the price at which the commodity is finally sold to the consumer. It is due to the long value chains between the producers and the consumers**. It includes a number of intermediaries, such as – wholesalers, brokers, commission agents, retailers
- **Malpractices in the Market:** A number of **unregulated markets in the country adopt various malpractices such as: use of false weights, adulteration, black marketing**.



- **Low adoption of contract farming:** Only 15 states have notified rules related to contract farming. There is no independent authority to regulate contract farming in India.

## **Agricultural Marketing: Government Initiatives**

### **Integrated Scheme for Agricultural Marketing (ISAM)**

Provides capital for the creation of agriculture infrastructure under the sub-scheme “**Agricultural Marketing Infrastructure (AMI)**”.

### **Model Contract Farming Act, 2018:**

- It takes **contract farming out of the ambit of Agricultural Produce Marketing Committees (APMCs)**.
- It instead sets up a **Registering and Agreement Recording Committee, under which all the contracts have to be registered**.
- **The Model Act contains provisions for dispute resolution, such as:** negotiation and reconciliation **for a mutually acceptable solution**, referral of the matter to a nominated dispute settlement officer.

### **Model Agricultural Produce and Livestock Marketing (Promotion and Facilitating) Act (APLM), 2017**

- The Act is meant to **replace the APMC Act, 2003**.
- The purpose is to **create a single agricultural market with a single license. Both the agriculture produce and livestock could be traded**.
- The new model law **has mandated establishment of a regulated wholesale agri-market at a distance of every 80 km**.
- It **has allowed the private market yards**, warehouses and cold storages to be used as a regulated agri-market.

### **Grameen Agricultural Markets (GrAMs):**

- GrAM programme, under the **Ministry of Agriculture and Farmers Welfare** aims at **modernizing and developing the infrastructure** of the rural markets.



- **The GrAMs would be outside the ambit of APMC regulation.**

## **SAMPADA (Scheme for Agro-Marine Processing and Development of Agro-Processing Clusters):**

- **SAMPADA scheme aims to modernise the food processing sector.**
- **It will provide the linkage between the farmers and the food processing industries.**

## **Operation Greens:**

It aims to stabilize the **supply of Tomato, Onion and Potato (TOP) crops** and reduce price volatility of these crops.

## **Electronic-National Agricultural Market (e-NAM):**

- **It aims to unify mandis across the nation into a single national market through electronic trading.**
- **In e-NAM, a buyer located anywhere in India would be able to place an order in any mandi in India.**

## **Agri-Market Infrastructure Fund (AMIF):**

- **It was created with NABARD for development and up-gradation of agricultural marketing infrastructure in Gramin Agricultural Markets and Regulated Wholesale Markets.**
- **AMIF is a corpus of Rs. 2000 crores.**

## **Agri-Udaan:**

- **The scheme will mentor the selected agricultural startups to scale up their operations in agri value chain for effective improvement in agriculture.**

## Agricultural Marketing: Best Practices in India

### Amul's aggregator model of cooperative farming:

- The Amul model of cooperative farming was **based on establishing a number of collection centre's which collected milk from the dairy farmers**, aggregated them and sold it to the consumers.
- It reduced the **influence of middlemen and ensured assured remuneration** for the farmers.

### Food world:

It has developed **supply arrangements with 100 small-scale farmers and has ensured a constant supply of food products for the supermarket chain** and assured income for the farmers.

## Agricultural Marketing: A way ahead

### 1. According to the National Commission on Farmers (1976), the objectives of an efficient marketing system, are:

- Enabling the farmers to reap the best possible benefits.
- Reducing the price difference between the farmer and the consumer.
- Making available all farm produce of good quality to consumers at reasonable price.

### 2. Information dissemination-

- Forward Markets Commission (FMC) has set up an e-portal AGMARKNET.
- It displays real-time prices of agricultural products.
- **The portal should be popularized** for nationwide delivery of information regarding the prices.

### 3. Promoting Farmer Producer Organizations (FPOs)-

- Farmer Producer Organizations (FPOs) are groups of farmers who are actually involved in agricultural production in a village or a cluster of villages.
- **Promoting FPOs will serve two primary functions:** It would provide scope for collective voice to the small and marginal farmers. It would also provide direct marketing channel to the farmers.

### 4. Convergence in government initiatives –

- An effective coordination **between the various ministries is needed to implement schemes which require** interventions from multiple ministries.
- For instance, this will facilitate convergence between Rashtriya Krishi Vikas Yojana (RKVY) of the agriculture ministry, **viability gap funding of the Ministry of Commerce for cold chains and warehousing infrastructure development and Pradhan Mantri Kisan Sampada Yojana of MOFPI.**

## 5. Warehouse Upgradation-

- **Pledge financing (Access to loan by a borrower keeping an asset as a collateral) at warehouses, through negotiable warehouse receipts (NWR), can be popularized as an alternative means of financing**

## 6. Block level resource centres –

- Block level resource **centres should be established to target clusters of villages.**
- It will **provide the farmers to access agricultural services.**
- It will also **create employment for the local youth.**
- It can be leveraged to **improve the quality of standards** and aid the farmers to get AGMARK certification.